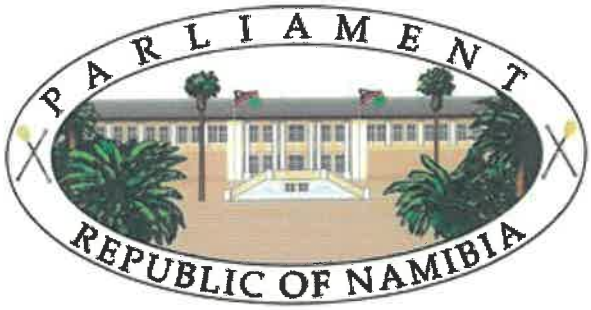

NATIONAL ASSEMBLY 7TH PARLIAMENT

STANDING COMMITTEE ON ECONOMICS AND PUBLIC ADMINISTRATION

REPORT ON THE MOTION TITLED "IN VIEW OF HELPING INFORMAL TRADERS THAT THE NATIONAL ASSEMBLY DISCUSS SOCIAL PROTECTION OF INFORMAL TRADERS"

REPORT NO.9 OF 2025

ACRONYMS

BON	:	Bank of Namibia
COW	:	City of Windhoek Development Policy
EMPTRETEC	:	Enhancing Entrepreneurship Development
Gig Economy:		
ICT	:	Information and Communication Technoly
ILO	:	International Labour Organisation
KCR	:	Khomas Regional Council
MIT	:	Ministry of Industrialisation and Trade
MLIREC	:	Ministry of Labour, Industrial Relations and Employment Creation
NAMPOL	:	Namibian Police Force
NIESEP	:	National Informal Economy, Startups and Entrepreneurship
NISO	:	Namibia Informal Sector Organisation
NSA	:	Namibia Statistics Agency
PPP	:	Purchase Power Parity Programme Namibia
SME	:	Small and Medium Enterprises
SSC	:	Social Security Commission
UN	:	United Nations

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1. INTRODUCTION/BACKGROUND

The Motion titled ***"In view of helping informal traders that the National Assembly discuss social protection of informal traders"*** by Hon. Agnes Mpingana Kafula was referred by the National Assembly to the Parliamentary Standing Committee on Economics and Public Administration for further investigation, recommendation and report back to the National Assembly.

The prayers and issues raised in the Motions include the following:

(a) Implementation of the International Labour Organisation Recommendation R204, 2015 (No. 2024) with regards to the transition from the informal to formal economy as adopted in Geneva at the 104th Session on 12 June 2015;
(b) Examine the conditions of street vendors, domestic workers, wood crafters, men on the side of the roads, cattle herders etc;
(c) Access to social protection and social security;
(d) Alleged harassments by the Namibian Police and City Police;
(e) Criminalization of informal trader while working spaces are limited;
(f) Costly or not accommodative of the informal Sector business activities;
(g) Establishing a social insurance programs for the Informal Sector; and
(h) Local authorities and regional councils to provide appropriate infrastructure and facilities and adequate market space for vendors and provision of basic sanitation such as water taps and ablution facilities.

The Committee held a briefing meeting with the mover of motion, Hon. Kafula on the 27th September 2023. During the briefing, Hon. Kafula requested the Committee to zoom in on the prayers above and issues under section 1.1 when investigating the Motion:

The Committee held public hearings with the relevant stakeholders to solicit their view and inputs on the Motion.

On 25 October 2023 and the 6th November 2023, the Committee held public hearings with Government Entities and stakeholder organisations listed in section 3 of the report.

The report highlights the discussion, findings and recommendations of the public consultations and public hearings.

1.1 TERMS OF REFERENCE/OBJECTIVES

The Motion seeks to address the following:

a) The need for the Government to expand the Social Protections Systems by developing and implement policies to cover the Informal economy.

b) A complete halt to harassment and criminalization of workers such as vendors and traders in the Informal economy sector especially if such actions are leading to the destruction of the livelihoods.

c) Local Authorities should provide appropriate facilities and enough trading areas for vendors and traders suitable to their customers and markets.

d) Local Authorities to establish Informal Economy Committees that would include representatives from the informal economy sector

e) Business organisations to recognize the informal economy sector as a partner in the national economy and to encourage their members to embrace informal economy businesses in their value chains and business strategies, in order to develop essential linkages between informal and formal businesses.

f) Government of the Republic of Namibia to promote the wellbeing of informal traders in terms of ILO Recommendation R204 to avoid further actions taken against the informal economy workers that result in loss of properties and livelihoods.

g) Politicians, business and community leaders to collaborate and work together to address the critical economic issues facing the nation.

h) The barriers inhibiting the transformation of the informal sector such as financial exclusion, lack of regulation, control and safe work environment and markets.

2. METHODOLOGY

The Committee held a meeting with the mover of the motion and public hearings and consultative meetings with the relevant stakeholders to solicit inputs on the motions. Questionnaires were administered to stakeholders based on the motion. In addition, some stakeholders were requested to make presentations to the Committee regarding their sectoral experiences with the operations of the informal sector.

Public hearings were held with the following government entities and organizations:

(a) Ministry of Labour, Industrial Relations and Employment Creation
(b) Ministry of Industrialisation and Trade
(c) Ministry of Home Affairs, Immigration, Safety and Security (Namibian Police)
(d) Social Security Commission
(e) Namibia Chamber of Commerce and Industries
(f) Namibia Informal Sector Organisation
(g) Namibia Informal Traders and Shebeen Workers Union
(h) Municipality of the City of Windhoek
(i) Namibia Local Business Association

3. PURPOSE OF THE REPORT

The purpose of this report is to report back to the National Assembly the outcome of the investigation on the Motion in terms of findings, recommendations for discussion, consideration and adoption.

4. FINDINGS, OBSERVATIONS AND DISCUSSIONS BASED ON SUBMISSIONS FROM INDIVIDUAL GOVERNMENT ENTITIES AND STAKEHOLDERS

4.1 SIGNIFICANCE AND SIZE OF THE INFORMAL ECONOMY

Article 98 of the Namibian Constitution, makes provision for the Principles of Economic Order, which states as follows: "the economic order of Namibia shall be based on the principles of a mixed economy with the objective of securing economic growth, prosperity and a life of human dignity for all Namibians."

Furthermore, ''the Namibian economy shall be based, inter alia, on the following forms of ownership: public, private, joint public-private, co-operative, co-ownership and small-scale family."

Notwithstanding the constitutional provisions, the informal economy does not feature distinctively in the Constitution, nor is there any distinctive legislation on the informal economy.

The Namibian economy, given its historical configurations due to past repressive regimes exhibits a feature of a dualistic economy. A large segment of the economy, up to a third of the gross national output is estimated to be in the Informal Economy. As a result of the historically developments, Namibia lacks policies that cater for the informal economy.

According to a publication jointly issued by the Friedrich Ebert Stiftung and Namibia Informal Sector Organisation titled "Code of Conduct for the Namibian Informal Economy" dated July 2021, literature reveals that the informal economy is a recent development in the country and was reportedly an unknown phenomenon prior to independence as such activities were essentially prohibited and suppressed during the colonial period. The lack of adequate formal sector employment has led to the emergence of an informal economy in the country.

The survey published in 2018 by NSA, reports that the size of Namibia's informal economy is estimated to be approximately N$8 billion which represents 24.7% of GDP measured at purchasing power parity (PPP)According to Namibia Labour Force Survey of 2018, Namibia had a total number of 725, 742, employed population of which 418 674 people are in informal employment, which is 57.7 percent of total employment in the country. On average, more females were in informal employment than males. The agriculture,

forestry and fishing industries constitute 35 percent of this employment (NSA, 2018).

Since 2018, the proportion of informal sector's contribution to employment now stands at 55.8%, meaning that there are more people employed in the informal economy than in the formal economy.

4.2 CURRENT PROFILE OF THE INFORMAL ECONOMY

The current profile of the informal economy in the country is backed by various studies and analysis conducted by various stakeholders.

The Ministry of Labour, Industrial Relations and Employment Creation in collaboration with the Social Security Commission and Labour Research and Resource and Research Institute conducted a study dubbed "Namibia Informal Sector Case Study" back in 2016/2017 to look at the characteristics of the informal sector. [1]

This study investigated the nature and extent of informal economy in Namibia with the aim of informing policy strategies and interventions. Furthermore, the findings provided policy direction on facilitating the transitioning of the informal economy to the formal economy, in line with Recommendation 2014. The Informal Sector Survey (ISS) was conducted in eight regions in Namibia during 2016 (//Kharas, Omaheke, Khomas, Erongo, Oshana, Ohangwena, Kavango East and Zambezi). The main objective of the survey was to characterize the informal sector with regards to the activities of enterprises, and to provide a snapshot of the legal environment within which social protection can be extended to the informal sector.

The drawback was that the study was quite limited, because it did not cover all the regions in the country, however, it was still valuable to provide some information.

The key findings of that study are summarized as follows:

(a) Most of informal traders and entrepreneurs are own-account workers, of which the majority are female, young adult females who at least have junior secondary education.
(b) Many of the traders are highly urbanized, approximately 76% are concentrated around urban areas.
(c) Many of the businesses are from the non-agricultural sector, almost 85% of informal traders and entrepreneurs.
(d) Although some are trained in running a business, the majority of informal businesses, traders and entrepreneurs lack training in financial literacy and record-keeping, particularly in the non-agricultural sector.
(e) Access to credit and micro-finance is a significant challenge, with limited awareness of financial products.
(f) The need for start-up capital is real and many informal traders and entrepreneurs often source start-up capital from family and friends. Government policies are

[1] https://mol.gov.na/documents/53329/69995/Informal+Case+Study+Report.pdf/

needed to support informal sector traders in generating meaningful income and to assist with provision of start-up capital. SSC requires a good understanding of the spatial extent of the informal sector e.g. where are these businesses located, how do they operate, what are their needs for social protection etcetera?

(g) Close to 60% of the businesses were operating at home. Only 19% had business premises with a fixed location that was independent from home.

(h) A high number of informal enterprises were not registered (88.9%) with the Social Security Commission. Lack of information on as to why they must register was the main reason cited for non-registration.

(i) On the other hand, 84.3% of the employees also indicated that they were not registered with the Social Security Commission.

(j) Physical inaccessibility to social security offices and lack of knowledge on the part of the own account workers were other reasons given for non-registration

(k) Although most own-account workers did not see the benefit to register their business with the Social Security Commission, they enumerated a number of benefits that would help mitigate exposure to vulnerability.

(l) For an enhanced or extended social protection in the informal sector, there is need to reform the Social Security Act, or amend the Constitution of Namibia, because access to the social security benefits in Namibia is not a right but a privilege.

Collaborative efforts were made between key stakeholders; Ministry of Labour, Industrial Relations and Employment Creation, Ministry Industrialisation and Trade, and Bank of Namibia, with the technical support of the Office of the UN Resident Coordinator to conduct research on the national diagnostic of informal economy in Namibia. A national consultative workshop held on 13-14 September 2023 under the theme "*Setting the Stage for a National Diagnostic on Informality*" laid the groundwork for the diagnostic process. The workshop laid the foundation for a common understanding of what informality means, why formalization matters and what processes of transition to formality entail.

The current profile of the informal economy in the country is further substantiated by submissions made to the Committee, in which a myriad of weaknesses and challenges were identified of which some are listed as follows:

a) Lack of officially recognized policies and legal framework to regulate the operations of the Informal Sector;

b) Lack/inadequate interventions such as formal training, infrastructure, financial support and access to markets;

c) Limited/lack of customers, market space, machinery and equipment, excessive competition, limited supply of raw materials, difficulties in business organization and management, land excessive control, taxes and regulations;

d) Lack of decent work which include job security, freedom of association and decent wage;

e) Scarcity of public markets: Informal traders have no legal permissions or rightful ownership of premises where they can conduct their businesses. Thus they are constantly facing police harassment, bullying and evictions;

f) Financial insecurity: Informal traders have limited or no access to finance services for financing their market, such as loans and insurance;
g) Lack of knowledge of law and regulations;
h) Lack of business administration knowledge and unaffordability to hire experts in several fields for assistance;
i) Informal traders face plenty of lawsuits on a daily basis due to the complexity of the legal framework;
j) Lack of bargaining power: The informal sector participants have no or limited power around the negotiation table, such as buying price and other regulations affecting their businesses;
k) Informal traders feel strategically excluded in most lucrative business venture: especially, licensed business, for example the Liquor Act No:6 of 1998 which prohibit or limits the selling of alcohol by informal traders;
l) the limited trading hours such as the late opening and early closing hours and the inspection of fitness certificate by the Municipality of the City of Windhoek;
m) Un-proportional boarder tariffs: The cross boarder charges of goods is un-proportional compared to the actual values of goods example the secondhand goods;
n) Access to social protection: The informal traders do not have access to social protection schemes such social security, person funds, medical cover and many other social investments;
o) Access to Resource and Services: Informal traders face challenges of accessing essential services such as unreliable electricity, inadequate access to affordable credit, land tenure and zoning restrictions and lack of property rights;
p) Informal sector entrepreneurs and actors face challenges in accessing electricity because they may be operating in a zone not designated for commercial or industrial use. Even when electricity is available the cost can be a burden for the Informal traders because of the limited financial resources;
q) The cost of land in urban areas can be prohibitively high for informal businesses, leading the informal traders to settle in areas where land is less expensive but may lack infrastructure and services. Some opt to settle illegal in informal settlement or rural areas with inadequate infrastructure;
r) Furthermore, informal traders often lack access to formal financial institutions due to lack of collateral or formal business documentation;
s) Informal economy lacks official statistics: Bank of Namibia and Namibia Statistics Agency should be partners in defining the informal economy and providing statistics. MIT is hopeful that there will be funding in the 2025/26 Financial Year to carry out a census on informal economies because without statistics it will be difficult to formulate policy and introduce social protection programmes;
t) Legislation including municipal bylaws at the local authority and regional levels, are responsible for the stagnation of entrepreneurship development and the expansion of the less structured economy. These legislations are not effectively speaking to the national developmental agenda and have birthed by-laws that are more towards limiting entrepreneurship and innovation, thus resulting in criminalization of the less-structured economy is becoming a norm;

u) For entrepreneurships to flourish in various localities, the first legal instrument to accept the informal economy should be the Local Authorities Act and Regional Councils Act. The conducive environment for entrepreneurship development is to be facilitated by local authorities and regional councils; and
v) Integrated infrastructure development. The proliferation of informality is based on the city, towns and villages spatial planning and design. When building a mall with no cubicles or proper spaces for micro-entrepreneurs. As a result, informal sector entrepreneurs will be running around the malls trying to benefit from the foot traffic. As a solution, infrastructure development in every specific area should integrate micro to small entrepreneurs for them to feed on to the foot traffic. National, regional and local government should avoid the outdated approach of isolating vendors and open markets to the outskirts of the town; and
w) Public Procurement Act not fully supporting the informal economy.

Another impediment linking to the profile of the informal economy in Namibia is stigmatization and negative perceptions. Stigmatization and negative perceptions with regards to the informal economy is real and do exist.

Some perception from some stakeholders and participants of the informal sector are that the policy agenda of government is merely to register informal economy businesses for tax collection, should be demystified.

When it is getting tough in the mainstream economy, people usually use the informal economy as the go-to. It is known by various names such as the survival economy etcetera. In Namibia there is some form of stigmatization of the informal economy. People of this sector are not taken serious because there is a perception that they do not contribute to the tax revenue of the country and because they are not registered with the institutions of Government, some (including the authorities) regard informal traders and entrepreneurs as a nuisance when they set up businesses in the street. The informal trading business are perceived to be unsafe and generally very difficult to manage, and because they are unmanageable, it is much easier to ignore informal traders and entrepreneurs.

The informal economy is stigmatized as 'the shadow economy', 'the off the book economy' and as 'the underground economy' It is also viewed as troublesome and unmanageable.

With regards alleged criminalization and harassment from the Namibian Police and City of Windhoek Police, the Namibian Police has a national duty enforce law and order. When they enforce law and order e.g. through solving the problem of roads overcrowded by some informal traders up to the edge of the roads, and the obstruction of road signs, which poses serious safety risks, it is construed as police harassment. When the Municipality of the City of Windhoek is trying to make the environment conducive for informal traders through, for example, rezoning some of the roads that, there is the tendency of non-compliance; and when the Police intervenes, it also construed as

harassment. The best solution, in the interim, is to embark on wider consultations with the informal sector participants, thereby creating awareness.

Therefore, the way forward on the informal economy should be demystifying the fears and concerns about formalization, registration and increased taxes.

4.3 INTERNATIONAL LABOUR ORGANISATION (ILO) RECOMMENDATION R204

The recommendations of the International Labour Organization R204 provides 12 guiding principles to ILO member states, focusing on: transitioning from the informal to the formal economy and supporting the formalization of the informal economy, promoting the economic inclusion of workers, recognizing the fundamental rights of workers, ensuring opportunities for income security, livelihoods and fostering an entrepreneurial spirit as well as contributing to decent jobs and social dialogue; and preventing the informalisation of formal economy jobs. The ILO Recommendation is attached to this report as *Annexure A*.

In terms of the ILO recommendation, "informal economy" refers to all economic activities by workers and economic units that are – in law or in practice – not covered or insufficiently covered by formal arrangements; and does not cover illicit activities, in particular the provision of services or the production, sale, possession or use of goods forbidden by law, including the illicit production and trafficking of drugs, firearms, trafficking in persons and money laundering.

Although the definition of informal economy in Namibia will be aligned to Recommendation 204 of the ILO, is imperative to take into consideration that certain activities must happen in a community to meet the criteria of the definition. Everywhere around the world, those activities do happen, and as already indicated, In Namibia many of our people who are unemployed, those without basic education, the junior secondary school leavers, the matriculants, graduates or maybe elderly people who are still active, this is the space that they would actually normally find themselves.

Furthermore, a multifaceted approach is needed to define the informal economy within the Namibian context and how to amend different pieces of legislation holistically, for example the Social Security Act and Labour Act and other legislation.

Some opinions advanced are that there might exist potential shortcomings or challenges for a developing country, like Namibia, in implementing these recommendations. There might be challenges allocate the necessary financial and human resources to implement the recommendations effectively. However, that should not be insurmountable to implement the recommendations.

The Labour Act is not necessarily pro-business and fails to address the adequate formalization of several businesses making it difficult to introduce and convert the informal economy into a formal structure.

The concept of 'informal sector' or 'informal economy' similarly does not feature in the Social Security Act (No.34 of 1994). The Act does not acknowledge in explicit terms the existence of the informal sector or informal economy in Namibia in any shape or form. The terms 'informal sector' or 'informal economy' are absent from the provisions of the Act.

The Labour Act (No.11 of 2007), similarly, does not in any way to the informal economy and/or give legal recognition to the sector.

Therefore, addressing the matter of the informal economy should not be about forced formalization, but rather, integrating and recognizing the existence and operations of the informal sector.

In addressing the ILO Recommendation 204, the Ministry of Labour, Industrial Relations and Employment Creation tasked the Labour Advisory Council to examine the ILO recommendation 204 and advise on the best possible ways of implementing it in Namibia.

The LAC Technical Committee conducted Stakeholders' workshop on the informal economy during September 2022. The purpose was to develop a country work plan that will guide the transition of the formal sector and the recommendations were as follows:

a) To establish a department in one of the Ministries to provide support services in the transformation of the informal sector to formal;
b) Create an informal economy database to facilitate easy planning and access to informal economy statistics;
c) A need to craft a Policy stipulating the provision of key services within the informal economy and sector amongst others: registration, payment of tax and employment contracts etc. With the aim to provide the operation parameter to the sector;
d) Relax the general registration requirements for the informal sectors;
e) Enhancing business skills and financial management to facilitate informal sector access to micro finance options and capital such as land;
f) Create more platforms e.g. expos and media, for the informal sector to publicize their products and to successfully compete with the formal sector counterparts;
g) Establish cooperative approach for seeking funding and purchasing of goods such as joint ventures other than individually to make it easier to access financial assistance and boost their market power;
h) Legislative review: municipal by-laws are governing local authorities and are at times accused of being prejudice against the informal sector. Thus, there is a need for old discriminatory legislations to be repealed;

i) Financial assistance: It is recommended that requirements to access financial assistance (loans and grants) be relaxed to accommodate the informal sector;
j) Adequate services and trading Markets: It is recommended that standards market places be constructed in every Constituency. Equally, proper taxi ranks and loading terminals should be increased;
k) Technical Support: It is recommended that traders in the informal sector be capacitated with knowledge on Property Rights. Furthermore, it is recommended that traders be trained on information, communication and technology (ICT); and
l) Access to Social Protection: there is a need for existing policies on social protection to accommodate the informal sector. Further, it is recommended to promote and extend occupational safety and health protection to employers and workers in the informal sector.

The effective implementation of these recommendations should be towards the betterment of the lives of the informal sector traders and entrepreneurs; and ensure access to essential services and resources.

It is well known that the informal economy serves as the go-to economy, basically, for many economies in the world, particularly in the developing world.

4.4 GOVERNMENT AND STAKEHOLDER EFFORTS TO SUPPORT THE INFORMAL ECONOMY

4.4.1 Policy direction and legal framework

Existing regulation and laws are hindering the institutionalization, growth and protection of the informal economy in Namibia as follows:

a) The high or complex tax requirements discourage informal workers and business from entering the formal economy, leading to tax evasion or avoidance. It is also difficult for Government to impose taxes on informal traders because of the absence of a law;
b) Stringent licensing and permit requirements makes it difficult for informal traders to start and operate their businesses legally;
c) The current Labour laws are more enforceable on formal employment and may not adequately protect the rights of informal workers in the informal sector;
d) Informal businesses have limited access to formal financial institutions due to regulatory barriers, making it challenging to grow and invest;
e) The existing restrictions on where and how informal businesses should operate limits their growth and sustainability due to zoning and property regulations;
f) Lack of social protection and social security benefits which leads to the sector becoming economically vulnerable;
g) Bylaws of local authorities and municipalities are very harsh and hostile towards informal traders; and

h) Informal traders are highly charged by Municipalities and Local Authorities in terms of the tariffs. For example, a fitness certificate for a shebeen in Windhoek for 2023 financial year costs N$ 2067.19 while the fitness certificate for Beverage manufacturer costs N$ 3106.85. Comparing the output sale of the two business establishments the price difference for the fitness certificate appears to be unfair

Notwithstanding, the concerns above, efforts have been made and are being made by the Government through the Ministry of Labour, Industrial Relations and Employment Creation, Ministry of Industrialization and Trade and the Social Security Commission in collaboration with key stakeholders to develop a policy, legal and regulatory frameworks for the informal economy in Namibia. These efforts are outlined as follows:

Ministry of Labour, Industrial Relations and Employment Creation
MLIREC, is in process to include legal provisions to protect businesses and its employees in the Informal Sector namely, the Labour Act, No.11 of 2007, Social Security Act and the Employees Compensation Act.

SCC limited by its mandate, can only register informal sector traders and entrepreneurs as self-employed employers and this type of registration is also voluntary and not compulsory. In terms of the definition of the Social Security Act, any formal employer must be a registered legal entity. That is why it should be regarded as an urgency to revise and finalize the review of the Social Security Act in order to extend the benefits and to increase those that can be registered as self-employed.

In April 2023, MLIREC commenced training of informal traders with 130 business owners from the informal sector, focusing on improving occupational safety and health, and rectifying non-compliance issues. The Ministry will continue to educate and create awareness for informal traders focusing on the Labour Act and its Regulations.

The Ministry also enforce basic compliance with labour legislation through targeted and routine inspections conducted by labour inspectors in the informal sector, of which a total of 519 informal sector workplaces were inspected for the three-year period (2021/22, 2022/23 and 2023/24), with 283 (55 %) in compliance and 236(45 %) non-compliance.

Ministry of Industrialisation and Trade

After the development of the National SME Policy in 2016, the Ministry of Industrialisation and Trade realized the need come up with an Informal Economy Policy.

Subsequently, MIT developed in collaboration with stakeholders, the National Informal Economy, Startups and Entrepreneurship Development Policy which aim is to create an accommodative and enabling environment for the informal economy, startups and general entrepreneurs. After approval of the Policy an informal economy law will be developed for adoption by Parliament to provide policy direction and legal framework for the informal economy.

The policy covers a non-exhaustive list including street vendors, car guards, trolley-vendors, shoemakers, charcoal harvesters, auto mechanics, construction workers, domestic workers, garment makers, embroiderers, barbers, hairdressers, artisans and craft producers/makers, scrap metal recyclers, weavers, paper-bag makers, assemblers of electronic parts, rural farmers, small-scale farmers, agriculture labourers etcetera.

In the meantime, MIT commenced with the Enhancing Entrepreneurship Development Programme Namibia Centre to teach informal sector entrepreneurs to become entrepreneurs with the right mindset. EMPTRETEC aims to unlocking the growth potential of Micro, Small and Medium Enterprises in Namibia through a competency based behavioral entrepreneurship training and the provision of business advisory services.

Implications of the NIESEP Policy

The implications of the Policy once approved by Cabinet will be as follows: Mainstreaming Informal Businesses led by women and the youth; Shortening and simplifying the process of starting a business; Supporting formalization and traceability; Supporting informal employment and self-employment; Improving our market intelligence and data analytics; and Ensuring financial inclusion and possible micro-pensions, micro-insurance for the informal economy.

The Policy will also strive to: Mainstreaming the private sector role and informal economy linkage; Hardwiring social protection within the policy provisions; and finally extending coverage among small and medium enterprises, workers with short-term contracts (Gig Economy) and those without an employer-employee relationship requires additional effort and innovation.

Other Sector Enhancements

The Investment Promotion and Facilitation Bill was withdrawn in 2021 and will be re-introduced reserving various economic sectors and activities for Namibian citizens. The Bill makes provision for categories of designated economic sectors and business activities contemplated and includes sectors and activities reserved only for Namibians.

MIT is also in the process to enhance various economic and trade facilitation mechanisms which include incentive regimes for start-ups in the informal economy.

4.4.2 Social Protection and Social Security

Support informal sector workers and entrepreneurs to access the informal sector

Social Security Commission has taken deliberate steps in respect of their 5-year strategic plan where they have defined what are the key deliverables that have to be zoomed in and focused on, in order to make an impact in the informal sector, in the absence of the revised Social Security Bill.

SSC embarked in regional outreach programmes where they provide education and awareness to the informal sector traders and entrepreneurs specifically. The awareness and education campaigns focus on the importance of registration, how to register with

the Social Security Commission, the benefits involved when registered with the Commission and therefore, they can also benefit.

Many entrepreneurs and traders in the informal sector do not have skills, or even if they have the skills, the complexity of the sector is a challenge to informal traders and entrepreneurs. Basic financial skills of informal sector entrepreneurs are also lacking. To that end, the Social Security Commission has been providing training to informal traders which include how to access to financial support; and efficient and effective ways to access the markets.

During the COVID-19 pandemic, SSC engaged the informal sector and provided funding as well as assisting workers who were retrenched.

SSC will continue to training informal traders and entrepreneurs on how to access funding and the markets. However, resources and expertise are only limited up to a certain point The commission is also limited by the current legal framework.

SSC intend to introduce an unemployment insurance and a National Pension Fund. The National Pension Fund will benefit most of the people in the informal sector who do not have access to pension funds.

NCCI has been working on a medical aid scheme, aiming to include micro-level members in the scheme. The issue of vulnerability and income shocks is primarily due to the slow progress of proposed interventions.

4.4.3 Infrastructure development

The mandate of the Municipality of the City of Windhoek on informal trading, stems from the Local Authorities Act, specifically Section 30(1) "to establish, carry on and maintain markets, and for the purpose to construct and let market houses, auction or sale rooms, stalls, warehouses and other buildings for the sale or storage of goods at such markets." Thus, the municipality's mandate is truly infrastructural development and making space for traders to work from.

In November of 2021, a SME Policy was introduced that also speaks to the plight of the informal sector, but more specifically, informal trading regulations were promulgated under Section 91 and 94(1) of the Local Authorities Act and gazetted already in 1999; reviewed again in 2007. The informal trading regulations are outdated. City of Windhoek commenced with the review of the informal trading regulations in consultation with NISO. A draft revised policy will be available by mid-2024 to be able to incorporate as much consultation into that process itself.

By October/November 2023 COW established the following facilities, specifically targeting the informal trading sector:

(a) 17 permanent markets with infrastructure;
(b) Two semi-developed markets, that being Post Street Mall and the Semi Mall.

(c) One communal car wash centre;
(d) many individual formally recognized places where 48 food carts can be established, 31 barbecue sites, and 22 additional approved sites have been made available to traders in and around the city;
(e) Two specific product-oriented markets and host periodic markets like the month-end markets; and
(f) the Spring Market and the Christmas Market where opportunities are offered to informal traders to exhibit their goods.

The City of Windhoek SME Policy acknowledges roaming informal traders, mobile traders and traders at intersections.

The COW staff component consist of 10 full-time staff who are responsible for managing over 24 markets in and around Windhoek.

COW has been embarking, over the last two years, on a market master development plan, in collaboration with the Khomas Regional Council, to look at constituency level, what is the diversification, where there are markets and where there are no markets. COW and KRC identified 22 new sites. Therefore, land has been approved by Council in July 2023 to set up markets on 22 additional sites in and around Windhoek. N$1 400 000.00 was budgeted for, to at least start the process. However, more funds are needed to be able to actually put infrastructure on 22 sites in and around the city.

COW takes note of the challenges regarding the provision of space, however, the concern is that people are not trading inside the spaces and instead, many informal traders are mushrooming outside. For example, at Stop and Shop centre in Okuryangava shopping area/centre where informal traders are doing business on the edge of the road.

The paying traders on the inside of the road complained to COW, citing the unfairness of paying traders, while those trading outside the road are literally taking away their income, as customers are not getting inside the markets because they are already being serviced by informal traders along the streets. This poses a challenge to COW that they have to deal with. Recently, the City of Windhoek engaged vendors at Stop and Shop and addressed issues such as road trading, cleanliness, illegal trading, public health, disaster and risk management, as well as safety and security.

Regarding law enforcement, COW is making efforts to curb illegal trading and dealing with mobility of traders but there is an element of non-compliance from some informal traders.

COW has a clear idea of infrastructure development, because it has always been a question of, if informal traders are removed, where will they be moved to? The municipality will not take food out of the mouths of informal traders who are trying to make a living.

Therefore, there should be alternatives, hence the attempt from COW with the market master development plan by making facilities available. If by-laws are enforced and NAMPOL together with City Police remove traders, there are options of alternative sites

where they can set up their businesses. Municipal officials are aware that traders are targeting certain areas where there are footsteps and transport nodes. However, unfortunately, it is very difficult to have markets at all of these transport nodes.

COW is looking forward to collaborate with institutions like the Social Security Commission on funding and resource allocation for the new sites programmes.

Rural-urban migration to Windhoek impact on public service delivery expected from the COW including provision of infrastructure for the informal sector. Census 2023 conducted by NSA reported that 494, 605 people live in Khomas region, of whom the majority lives in the capital City of Windhoek.

One of the international model to benchmark on and to consider, is that all local authorities receive a certain amount of tax for the number of people living in a specific locality such as Windhoek through migration, and that the taxation is actually shared in that regard. In other words, that would mean that COW would not be able to petition Government on the economic impact and implications of decentralization. For example, a certain portion of money is allocated to supporting the local authority for the social upliftment because economic development, includes social upliftment of the people.

With such a model every town is welcoming people to come and start businesses, to come and set up, relocate to a specific location, because with every additional person that registers at a local authority level, a certain percentage of taxation is allocated to that local authority to take care of the wellness of the citizens or residents

5. GENERAL FINDINGS

Notwithstanding the weaknesses and challenges faced in the informal economy of the country, the Committee is of the view that that there are governmental efforts and commitments to address and find solutions for the short, medium and long term, focusing on the following prayers and issues raised in the Motion:

(a) the status of implementation of the International Labour Organisation (ILO) Recommendation R204 with regards to the transition from the informal to formal economy as adopted in Geneva at the 104th Session on 12 June 2015;
(b) to look into the conditions of street vendors, domestic workers, wood crafters, men on the side of the roads, cattle herders etc;
(c) the issues of social protection/access to protection, the alleged harassments by the Namibian Police and City Police;
(d) criminalization of informal trader while working spaces are limited;
(e) costly or not accommodative of the informal Sector business activities;
(f) the possibility of establishing a social insurance programs for the Informal Sector; and
(g) Local Authorities/Municipalities to provide appropriate facilities and enough market space for vendors and provision of basic sanitation such as water taps and ablution facilities.

6. CONCLUSION

Despite the numerous efforts and actions taken by Governmental Entities and stakeholders, many more interventions are still required, hence the prayers in the Motion are still relevant, justified, timely and in the public interest.

Considering the issues raised in the report, the Committee is of the view that it investigated the Motion holistically.

Addressing the challenges affecting the informal economy is essential and in the public interest, because it significantly affects the growth and sustainability of the informal economy and prevents growth in the national economy.

In conclusion, political, public service, business and community leaders are called upon to create a supportive environment, where the issues affecting the informal sector are collectively addressed. Aligning national policies with ILO Recommendation R204 is essential to contribute to a more equitable society.

7. RECOMMENDATIONS

(a) The Committee recommends that the National Assembly consider and adopt the report and the motion.

(b) Ministry of Labour, Industrial Relations and Employment Creation, Ministry of Industrialisation and Trade, Ministry of Urban and Rural Development and Social Security Commission and key stakeholders should without delay implement Recommendation 204 of the International Labour Organisation.

(c) Ministry of Labour, Employment Creation, Ministry of Industrialisation and Trade, Ministry of Urban and Rural Development, Ministry of Home Affairs, Immigration, Safety and Security in particular the Namibian Police Force, Municipality of the City of Windhoek and all local authorities and regional councils must find solutions to the prayers and issues raised in the Motion, such as:

   i. Implementation of the International Labour Organisation Recommendation R204, 2015 (No. 2024) with regards to the transition from the informal to formal economy as adopted in Geneva at the 104th Session on 12 June 2015;
   ii. to examine the conditions of street vendors, domestic workers, wood crafters, men on the side of the roads etcetera;
   iii. Access to social protection,
   iv. alleged harassments by the Namibian Police and City Police;
   v. criminalization of informal trader while working spaces are limited; costly or not accommodative of the informal Sector business activities; establishing a social insurance programs for the Informal Sector; and

vi. Local authorities and regional councils to provide appropriate infrastructure and facilities and adequate market space for vendors and provision of basic sanitation such as water taps and ablution facilities.

(d) Ministry of Industrialisation and Trade, Ministry of Labour, Industrial Relations and Employment Creation and Social Security Commission must accelerate the approval and adoption at Cabinet and Parliament levels, the following policy direction and legal instruments:

i. National Informal Economy, Start-ups and Entrepreneurship Development Policy and enabling legislation;
ii. Amendment of the Labour Act, Act 11 of 2007;
iii. Amendment of the Social Security Act. Act 34 of 1994; and
iv. Amendment of the Employee Compensation Act, Act 30 of 1941

(e) Ministry of Labour, Industrial Relations and Employment Creation, Ministry of Industrialisation and Trade, Social Security Commission and key stakeholders should find solutions to the weaknesses and challenges outlined in the report.

(f) Ministry of Labour, Industrial Relations and Employment Creation, Ministry of Industrialisation and Trade, Social Security Commission and key stakeholders should demystify stigmatisation of the informal economy.

(g) Ministry of Labour, Industrial Relations and Employment Creation, Ministry of Industrialisation and Trade, Social Security Commission and key stakeholders should continue with government and stakeholder interventions.

(h) The Namibian Police and the Police of Municipality of the City of Windhoek in collaboration with the Government Entities above, should avoid any form of harassment and criminalisation of informal traders and entrepreneurs.

8. IMPLEMENTATION OF RECOMMENDATIONS OF COMMITTEES

In accordance with the Committee Rules of the National Assembly, when the Assembly accepts, with or without amendments, any recommendation of a Standing Committee on any subject, and the recommendation requires an Office, Ministry, Agency or Government Entity to perform or to refrain from performing an action, the Office, Ministry, Agency or Government Entity must comply with the recommendation of a Committee adopted by the Assembly, within a period of three (3) months or earlier.

SIGNATURES

.....
Hon. Natangue Ithete (Chairperson)

Date 13/02/2025

Hon. Mathias Mbundu (Deputy Chairperson)	.....
Hon. Dr Tobie Aupindi	.....
Hon. Apius! Auchab	.....
Hon. Yvette Araes	.....
Hon. Bertha Dinyando	.....
Hon. Elifas Dingara	.....
Hon. Reginald Diergaardt	.....
Hon. Maria Elago	.....
Hon. Hamunyera Hambyuka	.....
Hon. Maria Kamutali	.....
Hon. Sebastiaan Karupu	.....
Hon. Johanna Kandjimi	.....
Hon. Marina Kandumbu	.....
Hon. Gotthard Kasuto	.....
Hon. Dr Daniel Kashikola	.....
Hon. Helaria Mukapuli	.....
Hon. Fennie Nanyeni	.....
Hon. Nico Smit	.....
Hon. Kennedy Shekupakela	.....
Hon. Jennifer Van Den Heever	.....